



United States  
Attorney's Office  
District of New Jersey



# Former Owner of Collapsed Nursing Home Empire Sentenced to 36 Months' Imprisonment For \$38 Million Tax Fraud Scheme



Thursday, April 17, 2025

**For Immediate Release**

U.S. Attorney's Office, District of New Jersey

NEWARK, N.J. – A New York man was sentenced to 36 months in prison for his role in a \$38 million employment tax fraud scheme involving nursing homes he owned across the country, U.S. Attorney Alina Habba announced.

Joseph Schwartz, 65, of Suffern, New York, previously pled guilty to two counts of an indictment charging him with willfully failing to pay over employment taxes withheld from employees of his company, and willfully failing to file an annual financial report (Form 5500) with the Department of Labor for the employee 401K Benefit Plan Schwartz sponsored, before U.S. District Judge Susan D. Wigenton in Newark federal court.

According to documents filed in this case and statements made in court:

Schwartz, an insurance broker and operator of Skyline Management Group LLC ("Skyline"), with headquarters in New Jersey, willfully failed to pay employment taxes relating to numerous health care and rehabilitation facilities that Skyline operated in 11 states.

According to the indictment, Schwartz was required to collect, truthfully account for, and pay over to the Internal Revenue Service ("IRS") trust fund taxes withheld from the pay of employees of Skyline and related companies. From October 2017 through May 2018, Schwartz caused taxes to be withheld from employees' pay but failed to then pay over more than \$38 million in employment taxes to the IRS. As an administrator of the Skyline 401K plan, Schwartz further had an obligation to file an annual Form 5500 financial report with the Secretary of Labor for calendar year 2018, but knowingly and willfully failed to file the report.

U.S. Attorney Habba credited special agents of the IRS-Criminal Investigation, under the direction of Special Agent in Charge Jenifer Piovesan in Newark; Investigators with the Department of Labor-Employee Benefits Security Administration, under the direction of Regional Director Mark Seidel in the New York Regional Office; special agents of the FBI, under the direction of Acting Special Agent in Charge Terence G. Reilly; and the Department of Health and Human Services, Office of Inspector General, under the direction of Special Agent in Charge Naomi Gruchacz in the New York Regional Office, with the investigation that led to the sentencing in this case.

The government is represented by Assistant U.S. Attorneys Daniel H. Rosenblum and Kendall R. Randolph of the Criminal Division in Newark and Trial Attorney Shawn Noud of the Justice Department's Tax Division.

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Defense counsel: Kevin H. Marino, Esq.

*Updated April 17, 2025*

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